

strengthen our presence in south India—that includes Chennai, rest of Tamil Nadu and Karnataka—by launching 100 centres in FY23,” says Shah.

The company has indicated that it wants to look at the specialised testing segment. Metropolis also aims to create a category for chronic and wellness testing, something healthcare players eyeing the company are focusing on as well. Shah says that in the past two to three years, consumer behaviour towards health has changed due to Covid-19, with people becoming more health conscious. “Therefore, our goal will be to focus on 100 per cent of the population, which includes chronic and wellness patients. We aim to target them through wellness packages at good price points, loyalty programmes, etc. Digitisation and automation, home testing services and stakeholder engagement will complement our efforts in building this growth segment.”

As part of the company’s strategy to target the chronic and wellness segment, it will require a large amount of tech-enablement in the back end and digital transformation from both front-end and backend, which is currently under process, the company says.

Metropolis is also building a new API-led tech architecture that will allow it to work with all industry players seamlessly. It has upgraded its mobile app for patients and has built digital platforms to engage with its stakeholders. This has translated into Metropolis witnessing 173 per cent increase in digital users year-on-year (YoY) in FY22; 151 per cent increase in website views YoY; and 61 per cent increase in digital-driven revenue.

However, Metropolis isn’t the only organised player in the space. Rathi of BNP Paribas India says competition among organised players is increasing with several corporates entering the space, and this could impact the company’s growth and margins. The valuation of Metropolis has corrected “meaningfully in the recent past” because of this and as a result, it has become more attractive for investors. But, given the organised players’ market share of just 17 per cent, “we expect new entrants to mainly take share from unorganised players”. Rathi adds that Metropolis has large revenue contribution from specialised tests that is unlikely to see the impact of competition.

According to a report by ICICI Securities, a surge in competition from large brands is likely to impact realisations in the near term. But the securities firm remains positive on Metropolis owing to its aggressive network expansion with focus on B2C, strengthening position in the fast-growing South region with the Hitech acquisition, focus on increasing digital revenues, and faster shift of the market to organised players. “While any new entrant can quickly scale up B2B play, the B2C business can only be scaled up gradually,” says Vinay Bafna, Analyst at ICICI Securities. “So, the easiest way to grow is to acquire an established brand or player,” he says.



“On the whole, there is great interest in healthcare companies in India and Metropolis fits the bill eminently”

DR ARVIND LAL
CHAIRMAN AND
MANAGING
DIRECTOR, DR LAL
PATHLABS



“Metropolis gets a large part of its revenue from specialised tests, which differentiates it from peers and generates better realisation”

SRIRAAM RATHI
ANALYST-
HEALTHCARE &
PHARMACEUTICALS,
BNP PARIBAS INDIA

ADVANTAGE DIAGNOSTICS

What helps Metropolis’s cause is investor interest in India’s diagnostics space. According to a report by HDFC Securities, diagnostics is one of the fastest growing service segments in the country. The industry, estimated at \$9.5 billion in 2021, is expected to grow at a CAGR of around 11 per cent over the next five years, largely driven by increase in healthcare spending by an ageing population, rising income levels, increasing awareness for preventive testing, advanced healthcare diagnostic test offerings, and the central government’s healthcare measures, the report notes. And, according to the Ministry of Commerce and Industry, India’s hospitals and diagnostic centres sector reported growth of 39 per cent in FDI in FY22, with fund infusion of around \$697.5 million during the year.

“With the rising burden of non-communicable diseases such as diabetes and cancer, India’s healthcare sector has probably attracted substantial interest from private equity players in diagnostics, primary care to specialist surgical centres and for building new hospitals,” says Narendra Varde, MD, Roche Diagnostics India and Neighbouring Markets.

Such heightened interest can only mean good news for Shah and her plans for Metropolis Healthcare. **BT**

@neetu_csharma